



STRATHMORE UNIVERSITY BUSINESS SCHOOL

MASTER OF BUSINESS ADMINISTRATION

END OF SEMESTER EXAMINATION

MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

Date: Monday, 26th November 2018

Time: 3 Hours

Instructions

1. The examination consists of **FOUR** questions
2. Answer **Question ONE** and **ANY OTHER TWO** questions

Question 1(Compulsory) (50 Marks)

Refer to the **CASE** given and answer this question.

- a) Describe the nature of the business of the company **(4 Marks)**
- b) Given the summary financial statements, identify the key incomes, expenses, assets, liabilities, Capital and Cash Flows and explain the possible reasons for the changes in the figures between 2015 and 2016. **(26 Marks)**

Use a table with the following headings

Round off your figures to the nearest billion.

Incomes				
Key Items	2016	2017	Change	Possible reason for change
	Sh.b	Sh.b	Sh.b	

- c) One of the company's models of tyres 185/70R14 Monarch II has the following data for year 2017 from the management accountant:

Manufacturing costs	Sh'000'	Sh'000'
Variable costs	30,000	
Fixed costs	<u>18,750</u>	48,750
Selling and administration costs		
Variable (transport and commissions) costs	3,000	
Fixed costs	<u>6,000</u>	<u>9,000</u>
		<u>57,750</u>

The company manufactured 4,000 units during the year and one tyre retails at a price of sh.15,000.

During the performance review, it is highlighted that the company had an offer from a Rwandan based tyre dealer. The dealer requested to buy 1,000 tyres from the company at a price of sh.11, 250 per tyre and he was to meet the transport cost from Kenya to Rwanda. No commission was to be paid by the company also. Even though the additional order would have been met by the company without incurring additional fixed costs, the marketing director declined the offer citing that the price of sh. 11,250 was very low.

Required:

- (i) Using suitable computations comment on whether the decision by the marketing director to decline the offer was correct and any other factor that needs to be considered

(10 Marks)

- (ii) The company closed its tyre factory and transferred the tyre manufacturing business to China and India in order to achieve cost savings. The CEO has learnt of the Six Sigma approach to improving the quality of its processes and operations. Six Sigma uses the DMAIC approach in order to improve processes and operations. Describe briefly how the organization could have used the DMAIC approach in the factory as a process improvement

(10 Marks)

Question 2 (25 Marks)

Use the case given to answer this question

- a) Compute the following ratios for the company over the two years:

- (i) Net Profit Margin
- (ii) Return on Equity
- (iii) Current ratio
- (iv) Quick ratio
- (v) Debt Ratio

- (vi)Debt Equity Ratio
- (vii) Total Asset Turnover ratio **(12 Marks)**
- b) Comment on **FOUR** aspects that these ratios are measuring and how the company has performed over the two years. **(8 Marks)**
- c) Describe the process that the organization follows to prepare the financial statements **(5 Marks)**

Question 3 (25 Marks)

- a) Briefly explain **FOUR** factors that contribute to effective budgeting **(8 Marks)**
- b) Medusa manufactures a kettle labeled the ‘Tottler’. The following is the pricing and costing structure of one unit of Tottler:

Selling Price	Sh.2,400
Direct Material Cost (250 grams at sh.0.25 per g)	Sh.625.00
Direct Labor Cost (400 seconds at sh.0.15 per s)	sh.600.00
Variable Overheads	Sh.425.00
Total Direct Cost per unit	Sh.1,650

The company budgeted to produce 200,000 units with Fixed overheads of sh.81 million. The following summary represents the actuals for 2017:

Production and sales	180,000units
Production and Sales	Sh.420,900,000
Direct Materials Costs	Sh.108,000,000
Direct Labor Costs	Sh.113,400,000
Variable Overheads	Sh.90,000,000
Fixed Overheads	Sh.76,000,000

Required:

- (i) Prepare the Master Budget, Flexible Budget and Actual statement of profit or loss for year 2017 **(12 Marks)**
- (ii) Comment on the performance of the company comparing using the relevant budgets **(2 Marks)**
- (iii)Determine the break-even point in units and currency **(3 Marks)**

Question 4 (25 Marks)

- a) For many organizations, strategy is critical in ensuring organization success. Management accounting supports organizational strategy at various stages from business analysis, strategy formulation and strategy implementation and control.

Required:

Briefly explain how management accounting supports strategy formulation (5 Marks)

- b) Muuguzi is a large national hospital operating in Mombasa County. The management is reviewing the following data about three of its departments that are loss making:

	Pharmacy	Diagnostic Imaging	Microbiology
	Sh.000	Sh.000	Sh.000
Revenues	50,000	20,000	5,000
Direct Costs	(40,000)	(18,000)	(4,000)
Contribution	10,000	2,000	1,000
Direct and allocated overheads	(15,000)	(3,000)	(1,200)
Overall Deficit	-5,000	-1,000	-200

The Management, as shown by the figures is in a dilemma. The three departments are very critical to the functioning of the hospital, but at the same time they seem to be very expensive to run. Rather than shut them down, an alternative option is outsourcing and see if the hospital can make a small surplus associated with savings in costs.

After requesting for various bids from providers, management has compiled the following data if the decision is to outsource:

	Pharmacy	Diagnostic Imaging	Microbiology
	Sh.m	Sh.m	Sh.m
Contribution to be received from provider	4,000	1,000	600
Direct overheads that will be saved	5,000	500	600

Based on this data, advice the management the appropriate action to take (10 Marks)

- c) The balanced score card is a popular tool that is used to evaluate the performance of an organization during a given period. Describe the five perspectives of a fifth-generation balanced scorecard assuming an organization that buys to sell. For each perspective, provide one goal and a possible measure (10 Marks)